

03 Verification of accounting records

Corrected Topical Answers

9 selected hard questions

Exact mark-scheme extracts enlarged for clear reading

Contents

3.2 Correction of errors	3 answer(s)
3.3 Bank reconciliation	3 answer(s)
3.4 Control accounts	3 answer(s)

ANSWER / MARKING POINTS

3(a)(i)	Bank statement (1)					1																		
3(a)(ii)	Error 4 (1)					1																		
3(b)	Akil Journal <table><tr><th>Error number</th><th>Details</th><th>Debit \$</th><th>Credit \$</th></tr><tr><td>1</td><td>Sales returns Sales</td><td>3 416 (1)</td><td>3 416 (1)</td></tr><tr><td>2</td><td>Insurance (115 × 2) Suspense</td><td>230 (1)</td><td>230 (1)</td></tr><tr><td>3</td><td>Discount received Discount allowed Suspense</td><td>47 (1) 47 (1)</td><td>94 (1)</td></tr></table>					Error number	Details	Debit \$	Credit \$	1	Sales returns Sales	3 416 (1)	3 416 (1)	2	Insurance (115 × 2) Suspense	230 (1)	230 (1)	3	Discount received Discount allowed Suspense	47 (1) 47 (1)	94 (1)	7		
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March 1	Balance b/d (1)OF	<u>475</u> 151			<u>475</u>																			

ANSWER / MARKING POINTS - continued

3(d)		\$	\$	\$	5
		Plus	Minus		
	Original draft profit			17 420	
	Error 4	52 (1)			
	Error 5	90 (1)			
	Error 2		230 (1)		
	Error 3		94 (1)		
		142	324	(182)	
	Draft profit after corrections			17 238 (1)OF	

Question	Answer	Marks
4(a)	Tadeen and Yadid Income Statement for the year ended 30 April 2024	8

ANSWER / MARKING POINTS

4(a)

Nikita Journal

Error	Details	Debit \$	Credit \$	
1	Suspense Insurance	2000	2000	(1) (1)
2	Suspense Discount received Discount allowed	1000	500 500	(2) (1) (1)
3	Kajal Suspense	400	400	(1) (1)
4	Aisha Anisah	700	700	(1) (1)

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4(b)

Nikita Suspense account

Date	Details	\$	Date	Details	\$
	Insurance (1)	2 000		Difference on trial balance (1)	2 600
	Discount received (1)	500		Kajal (1)	400
	Discounts allowed (1)	500			3 000
		3 000			

5

ANSWER / MARKING POINTS - continued

4(c)	Nikita				5
	Statement of corrected profit for the year ended 30 June 2021				
	Profit for the year before corrections			\$ 28 000	
		Increase in profit \$	Decrease in profit \$		
	Error 1	2 000 (1)	—		
	Error 2	1 000 (1)	—		
	Error 3	no effect (1)	—		
	Error 4	<u>no effect (1)</u> 3 000	<u>—</u>	<u>3 000</u>	
	Corrected profit for the year			<u>31 000 (1) OF</u>	

ANSWER / MARKING POINTS - continued

5(a)	Simon Delivery vehicles account	15
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ANSWER / MARKING POINTS

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ANSWER / MARKING POINTS - continued

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ANSWER / MARKING POINTS - continued

4(a)	Tadeen and Yadid Income Statement for the year ended 30 April 2024	8
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ANSWER / MARKING POINTS

2(a)	Farah and Salma Appropriation Account for the year ended 28 February 2025 <table><tr><td></td><td>\$</td><td>\$</td></tr><tr><td>Profit for the year</td><td></td><td>38 175</td></tr><tr><td>Add Interest on drawings</td><td></td><td></td></tr><tr><td>Farah</td><td>*95 (1)</td><td></td></tr><tr><td>Salma</td><td>**210 (1)</td><td>305</td></tr><tr><td></td><td></td><td><u>38 480</u></td></tr><tr><td>Less</td><td></td><td></td></tr><tr><td>Interest on capital: Farah</td><td>1 040 }</td><td></td></tr><tr><td>Salma</td><td>1 500 } (1)</td><td></td></tr><tr><td></td><td><u>2 540</u></td><td></td></tr><tr><td>Salary – Farah</td><td>11 200 (1)</td><td>13 740</td></tr><tr><td></td><td></td><td><u>24 740</u></td></tr><tr><td>Profit share: Farah (30% × 24 740)</td><td>7 422 (1) OF</td><td></td></tr><tr><td>Salma (70% × 24 740)</td><td>17 318 (1) OF</td><td>24 740</td></tr><tr><td></td><td></td><td><u>24 740</u></td></tr></table> (Farah (14 250 × 4% × 2/12) =95* Salma (14 250 × 4% × 2/12) + (5 750 × 4% × 6/12) = 210**		\$	\$	Profit for the year		38 175	Add Interest on drawings			Farah	*95 (1)		Salma	**210 (1)	305			<u>38 480</u>	Less			Interest on capital: Farah	1 040 }		Salma	1 500 } (1)			<u>2 540</u>		Salary – Farah	11 200 (1)	13 740			<u>24 740</u>	Profit share: Farah (30% × 24 740)	7 422 (1) OF		Salma (70% × 24 740)	17 318 (1) OF	24 740			<u>24 740</u>	6									
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ANSWER / MARKING POINTS - continued

2(c)	There may be insufficient money in the bank / reduces liquidity (1) There may be a limit on drawings (stated in the partnership agreement) (1) May damage the relationship between the partners (1) Salma would have to pay interest on drawings (1) Accept other valid points Max (2)	2
2(d)	Advantages of converting to a limited company Easier to raise capital / finance / loans (1) Shareholders have limited liability (1) Workload / responsibility is shared (1) Profit may increase (1) Farah receives an increase in salary (1) Limited company has continuity of existence / there is separate legal identity (1) Accept other valid points Max (3) Disadvantages of converting to a limited company Farah and Salma would lose control (1) The brothers may have no business experience (1) Increased legal and administrative costs (1) Cash / profit may be reduced to pay salaries/dividends (1) The investment may not be sufficient to fund the expansion (1) Accept other valid points Max (3) Overall Advantages and Disadvantages: Max (4) Recommendation (1)	5

ANSWER / MARKING POINTS - continued

3(a)	Jasmine Provision for depreciation of motor vehicles account	4
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ANSWER / MARKING POINTS

1(a)(i)	Shakir Journal <table><tr><th>Date</th><th>Details</th><th>Debit \$</th><th>Credit \$</th><th></th></tr><tr><td>2023 1 Sep</td><td>Motor vehicle</td><td>9 500</td><td></td><td>}</td></tr><tr><td></td><td>Inventory</td><td>1 240</td><td></td><td>} (1)</td></tr><tr><td></td><td>Bank</td><td>1 682</td><td></td><td>}</td></tr><tr><td></td><td>Latif</td><td></td><td>200</td><td>}</td></tr><tr><td></td><td>Harrison</td><td></td><td>237</td><td>} (1)</td></tr><tr><td></td><td>Capital</td><td></td><td>11 985</td><td>(1)</td></tr><tr><td></td><td></td><td><u>12 422</u></td><td><u>12 422</u></td><td></td></tr></table>	Date	Details	Debit \$	Credit \$		2023 1 Sep	Motor vehicle	9 500		}		Inventory	1 240		} (1)		Bank	1 682		}		Latif		200	}		Harrison		237	} (1)		Capital		11 985	(1)			<u>12 422</u>	<u>12 422</u>		3
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		<u>12 422</u>	<u>12 422</u>																																							
1(a)(ii)	Full details are available about the assets, liabilities, revenues and expenses of the business (1) The preparation of financial statements is relatively straightforward (1) The calculation of the profit or loss for the year is likely to be reliable and accurate (1) More informed decision-making is possible (1) A greater degree of control over business activities can be exercised (1) The possibility of fraud is reduced (1) Comparisons with the results of previous years and with other businesses are possible (1) Detailed records are available for reference purposes (1) Information required by a bank or other lender is readily available (1) Max (2)	2																																								

ANSWER / MARKING POINTS - continued

Oct/Nov 2023 - Paper 21 - Question 1 | 20 marks

1(b)	Shakir Cash Book <table> <tr> <th>Date</th><th>Details</th><th>Disc Alld \$</th><th>Cash \$</th><th>Bank \$</th><th>Date</th><th>Details</th><th>Disc Rec \$</th><th>Cash \$</th><th>Bank \$</th></tr> <tr> <td>2023</td><td></td><td></td><td></td><td></td><td>2023</td><td></td><td></td><td></td><td></td></tr> <tr> <td>Sep 1</td><td>Balance b/d (1)</td><td></td><td></td><td>1 682</td><td>Sep 2</td><td>Rent (1)</td><td></td><td></td><td>420</td></tr> <tr> <td>4</td><td>Bank (1)</td><td></td><td>350</td><td></td><td>4</td><td>Cash (1)</td><td></td><td></td><td>350</td></tr> <tr> <td>17</td><td>Sales }</td><td></td><td></td><td>290</td><td>7</td><td>Latif (1)</td><td>6</td><td></td><td>194</td></tr> <tr> <td>28</td><td>Sydney } (1)</td><td></td><td></td><td>100</td><td></td><td>Wages (1)</td><td></td><td>161</td><td></td></tr> <tr> <td></td><td></td><td></td><td></td><td></td><td>12</td><td>Harrison (1)</td><td>5</td><td></td><td>95</td></tr> <tr> <td></td><td></td><td></td><td></td><td></td><td>29</td><td>Balances c/d (1)</td><td></td><td>189</td><td>1013</td></tr> <tr> <td></td><td></td><td></td><td></td><td></td><td>30</td><td></td><td></td><td></td><td></td></tr> <tr> <td></td><td></td><td>—</td><td>350</td><td>2 072</td><td></td><td></td><td>11</td><td>350</td><td>2 072</td></tr> <tr> <td>Oct 1</td><td>Balances b/d</td><td></td><td>189</td><td>1 013</td><td></td><td></td><td>(1) OF</td><td></td><td></td></tr> <tr> <td></td><td>*For both balances</td><td></td><td>(1) OF</td><td></td><td></td><td></td><td></td><td></td><td></td></tr> </table>	Date	Details	Disc Alld \$	Cash \$	Bank \$	Date	Details	Disc Rec \$	Cash \$	Bank \$	2023					2023					Sep 1	Balance b/d (1)			1 682	Sep 2	Rent (1)			420	4	Bank (1)		350		4	Cash (1)			350	17	Sales }			290	7	Latif (1)	6		194	28	Sydney } (1)			100		Wages (1)		161							12	Harrison (1)	5		95						29	Balances c/d (1)		189	1013						30							—	350	2 072			11	350	2 072	Oct 1	Balances b/d		189	1 013			(1) OF				*For both balances		(1) OF							11
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1(c)	Cash book balance1 013 (1) OF Sales by credit transfer175 (1) Less bank charges(35) (1) OR Balance per bank statement763 (1) Outstanding lodgement100 (1) Bank error290 (1)	4
	Corrected bank balance1 153 (1) OF Corrected bank balance1 153 (1) OF	

ANSWER / MARKING POINTS - continued

2(a)	Hilary Manufacturing Account for the year ended 31 July 2023	11
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ANSWER / MARKING POINTS

1(a)	Jenny Cash Book – bank columns						7
	Date	Details	\$	Date	Details	\$	
	2024			2024			
	Mar 1			Mar 1			
		M Stores	(1) 1 900		Balance b/d	(1) 1 933	
		Interest received	(1) 358		C Stores (dis. chq)	(1) 1 121	
		Drawings/Correction of error	(1) 45		Bank charges	} 125	
		Balance c/d			Electricity	} (1) 290	
			1 166				
			<u>3 469</u>			<u>3 469</u>	
				2024			
				Mar 1	Balance b/d	(1)OF 1 166	

ANSWER / MARKING POINTS - continued

1(b)	Jenny Bank reconciliation statement at 29 February 2024 <table><tr><td></td><td>\$</td><td></td><td>\$</td><td></td></tr><tr><td>Balance on bank statement</td><td></td><td></td><td>1 367</td><td>(1)</td></tr><tr><td>Amounts not yet credited</td><td></td><td></td><td></td><td></td></tr><tr><td> Cheque – Y Traders</td><td></td><td></td><td><u>792</u></td><td>(1)</td></tr><tr><td></td><td></td><td></td><td>2 159</td><td></td></tr><tr><td>Amounts not presented</td><td></td><td></td><td></td><td></td></tr><tr><td> Cheque – B Properties</td><td>1 025</td><td>(1)</td><td></td><td></td></tr><tr><td> Credit transfer – Rent and insurance</td><td><u>2 300</u></td><td>(1)</td><td><u>3 325</u></td><td></td></tr><tr><td>Balance in cash book</td><td></td><td></td><td><u>(1 166)</u></td><td>(1)OF</td></tr></table> Alternative presentation <table><tr><td></td><td>\$</td><td></td><td>\$</td><td></td></tr><tr><td>Balance in cash book</td><td></td><td></td><td>(1 166)</td><td>(1)OF</td></tr><tr><td>Amounts not presented</td><td></td><td></td><td></td><td></td></tr><tr><td> Cheque – B Properties</td><td>1 025</td><td>(1)</td><td></td><td></td></tr><tr><td> Credit transfer – Rent and insurance</td><td><u>2 300</u></td><td>(1)</td><td><u>3 325</u></td><td></td></tr><tr><td></td><td></td><td></td><td>2 159</td><td></td></tr><tr><td>Amounts not yet credited</td><td></td><td></td><td></td><td></td></tr><tr><td> Cheque – Y Traders</td><td></td><td></td><td><u>(792)</u></td><td>(1)</td></tr><tr><td>Balance on bank statement</td><td></td><td></td><td><u>1 367</u></td><td>(1)</td></tr></table>		\$		\$		Balance on bank statement			1 367	(1)	Amounts not yet credited					Cheque – Y Traders			<u>792</u>	(1)				2 159		Amounts not presented					Cheque – B Properties	1 025	(1)			Credit transfer – Rent and insurance	<u>2 300</u>	(1)	<u>3 325</u>		Balance in cash book			<u>(1 166)</u>	(1)OF		\$		\$		Balance in cash book			(1 166)	(1)OF	Amounts not presented					Cheque – B Properties	1 025	(1)			Credit transfer – Rent and insurance	<u>2 300</u>	(1)	<u>3 325</u>					2 159		Amounts not yet credited					Cheque – Y Traders			<u>(792)</u>	(1)	Balance on bank statement			<u>1 367</u>	(1)	5
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1(c)	An accurate bank balance is available Errors on bank statement can be identified Errors in the bank account can be identified Assists with discovering fraud and embezzlement Cheques not presented can be identified Amounts not credited by the bank can be identified Any stale (out of date) cheques can be identified Any 2 advantages (1) each	2																																																																																										
1(d)	It is an asset to the bank/it is money owed to the bank	1																																																																																										

ANSWER / MARKING POINTS - continued

1(e)	Advantages Improves bank balance/ improve liquidity Money available to run the business/pay trade payables/business expenses Reduces interest/bank charges from bank Improves relationship with bank Any other valid points Max 3 Disadvantages Lack of funds for own personal use May not have sufficient personal funds available May have to obtain a personal loan Will lose interest on investments if they have to be withdrawn More personal funds at risk Accept other valid points Max 3 Recommendation (1)	5
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ANSWER / MARKING POINTS - continued

2(a)	Ali & Sai Profit and loss appropriation account for the year ended 30 June 2024	8
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ANSWER / MARKING POINTS

2(a)	Jenny Sales ledger control account <table><tr><td>Date 2025 Feb 1 28</td><td>Details Balance b/d Sales Interest charged Balance c/d</td><td> \$ 1 895 42 600 510 750 45 755 </td><td>Date 2025 Feb 28 2025 Mar 1</td><td>Details Sales returns Bank Discount allowed Irrecoverable debts Contra entries Balance</td><td> (1) (1)OF (1) (1) (1) 7 300 33 300 1 265 1 040 2 850 45 755 750 </td></tr></table> (1) Dates						Date 2025 Feb 1 28	Details Balance b/d Sales Interest charged Balance c/d	\$ 1 895 42 600 510 750 45 755	Date 2025 Feb 28 2025 Mar 1	Details Sales returns Bank Discount allowed Irrecoverable debts Contra entries Balance	(1) (1)OF (1) (1) (1) 7 300 33 300 1 265 1 040 2 850 45 755 750	9				
Date 2025 Feb 1 28	Details Balance b/d Sales Interest charged Balance c/d	\$ 1 895 42 600 510 750 45 755	Date 2025 Feb 28 2025 Mar 1	Details Sales returns Bank Discount allowed Irrecoverable debts Contra entries Balance	(1) (1)OF (1) (1) (1) 7 300 33 300 1 265 1 040 2 850 45 755 750												
2(b)	Max 1 Book-keeping can be divided between several members of staff (1) Detail is removed from the general ledger/removes detail from sales account (1) Useful for the preparation of control accounts (1) Provides total of credit sales (1) Useful for collating and summarising information about credit sales (1) Accept other valid responses						1										
2(c)	<table><tr><td>Book of prime entry</td><td>Source document</td><td>Issued or received</td><td></td></tr><tr><td>Sales journal</td><td>Invoice</td><td>Issued</td><td>(1) Row</td></tr><tr><td>Purchase returns journal</td><td>Credit note</td><td>Received</td><td>(1) Row</td></tr></table>				Book of prime entry	Source document	Issued or received		Sales journal	Invoice	Issued	(1) Row	Purchase returns journal	Credit note	Received	(1) Row	2
Book of prime entry	Source document	Issued or received															
Sales journal	Invoice	Issued	(1) Row														
Purchase returns journal	Credit note	Received	(1) Row														
2(d)(i)	An allowance given when an account is settled within a specified time period (1)						1										
2(d)(ii)	A reduction in the list price of goods/allowance to encourage bulk buying (1)						1										
2(e)	Debit note (1)						1										

ANSWER / MARKING POINTS - continued

2(f)	Arguments for creating a provision for doubtful debts Max 2 Profit for the year is not overstated/expenses for the year are not understated (1) Trade receivables shown at a more realistic amount/trade receivables not overstated/current assets not overstated (1) Applies the principle of matching/accruals (1) Applies the principle of prudence (1) Arguments against creating a provision for doubtful debts Max 2 Provision is only an estimate/may not be accurate/does not ensure that the customer will pay (1) May be difficult to estimate the amount of doubtful debts (1) Has to be re-calculated each year/ time consuming (1) Profit for the year will be reduced/expenses for the year will be increased/larger impact on profit in the first year (1) Accept other valid responses Recommendation (1)	5
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ANSWER / MARKING POINTS - continued

3(a)	Return on Capital employed (ROCE)		8
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ANSWER / MARKING POINTS

2(a)(i)	Samir Journal				3	
	Date	Details	Debit \$	Credit \$		
	2023 Dec 31	Irrecoverable debts (1)	178			
		Ria (1)		178		
		Amount due from Ria written off due to bankruptcy. (1)				
2(a)(ii)	To comply with the prudence principle/avoid overstating the profit for the year/avoid overstating the trade receivables (1) To comply with the matching principle/to ensure that a possible irrecoverable debt is recognised in the year in which the sale was made (1) It is unlikely that all the amounts due from trade receivable will be received (1) Max 2				2	
2(b)	Samir Sales ledger control account				9	
	Date	Details	\$	Date	Details	\$
	2023 Jan 1	Balance b/d	10 115	2023 Dec 31	Sales returns (1)	5 234
	Dec 31	Sales (1)	124 670		Bank (1)	98 620
		Interest charged (1)	139		Cash (1)	11 470
					Contra (1)	1 833
					Discount allowed (1)	3 125
					Irrecoverable debts (1)	178
					Balance c/d	14 464
			134 924			134 924
	2024 Jan 1	Balance b/d (1)OF	14 464			

ANSWER / MARKING POINTS - continued

2(c)(i)	Advantages: Customers would pay the full amount of each invoice (1) Profit for the year may increase as expenses would be reduced (1) Book-keeping would be less complicated (1) May improve relationship with trade payables/may reduce trade payables turnover (1) May be able to obtain cash discount from trade payables (1) Trade payables may charge interest if payment made late (1) Max (3) Disadvantages: No incentive for customers to pay quickly/customers may take longer to pay (1) Increased risk of irrecoverable debts (1) Customers may buy less/go elsewhere/sales decrease/relationship with customers may deteriorate (1) Over half of sales are made for cash so the removal of cash discount would have limited effect (1) Max (3) Accept other valid points Max (4) Recommendation (1)	5
2(c)(ii)	Increase selling price (1) Reduce other expenses (1) Reduce drawings/introduce additional capital (1) Apply for a short-term loan/overdraft (1) Charge interest on overdue accounts (1) Improve credit control (1) Accept other valid points Max (1)	1

ANSWER / MARKING POINTS - continued

3(a)	The Sporting Excellence Club Subscriptions account	6
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ANSWER / MARKING POINTS

3(a)	Lucas Sales ledger control account <table><tr><th>Date 2023</th><th>Details</th><th>\$</th><th>Date 2023</th><th>Details</th><th>\$</th></tr><tr><td>Jan 1</td><td>Balance b/d</td><td>14 940</td><td>Jan 31</td><td>Returns inwards</td><td>(1) 920</td></tr><tr><td>31</td><td>Sales</td><td>(1) 12 736</td><td></td><td>Cash</td><td>} 685</td></tr><tr><td></td><td></td><td></td><td></td><td>Bank</td><td>}(1) 10 620</td></tr><tr><td></td><td></td><td></td><td></td><td>Irrecoverable debts</td><td>(1) 140</td></tr><tr><td></td><td></td><td></td><td></td><td>Contra</td><td>(1) 180</td></tr><tr><td></td><td></td><td></td><td></td><td>Balance c/d</td><td>15 131</td></tr><tr><td></td><td></td><td>27 676</td><td></td><td></td><td>27 676</td></tr><tr><td>Feb 1</td><td>Balance b/d</td><td>(1)OF 15 131</td><td></td><td></td><td></td></tr></table>	Date 2023	Details	\$	Date 2023	Details	\$	Jan 1	Balance b/d	14 940	Jan 31	Returns inwards	(1) 920	31	Sales	(1) 12 736		Cash	} 685					Bank	}(1) 10 620					Irrecoverable debts	(1) 140					Contra	(1) 180					Balance c/d	15 131			27 676			27 676	Feb 1	Balance b/d	(1)OF 15 131				6
Date 2023	Details	\$	Date 2023	Details	\$																																																			
Jan 1	Balance b/d	14 940	Jan 31	Returns inwards	(1) 920																																																			
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3(b)	Lucas Purchases ledger control account <table><tr><th>Date 2023</th><th>Details</th><th>\$</th><th>Date 2023</th><th>Details</th><th>\$</th></tr><tr><td>Jan 31</td><td>Returns outwards</td><td>(1) 463</td><td>Jan 1</td><td>Balance b/d</td><td>8 450</td></tr><tr><td></td><td>Bank</td><td>(1) 6 675</td><td>31</td><td>Purchases</td><td>(1) 7 325</td></tr><tr><td></td><td>Discount received</td><td>(1) 210</td><td></td><td>Interest</td><td>(1) 166</td></tr><tr><td></td><td>Contra</td><td>(1) 180</td><td></td><td></td><td></td></tr><tr><td></td><td>Balance c/d</td><td>8 413</td><td></td><td></td><td>15 941</td></tr><tr><td></td><td></td><td>15 941</td><td>Feb 1</td><td>Balance b/d</td><td>(1)OF 8 413</td></tr></table>	Date 2023	Details	\$	Date 2023	Details	\$	Jan 31	Returns outwards	(1) 463	Jan 1	Balance b/d	8 450		Bank	(1) 6 675	31	Purchases	(1) 7 325		Discount received	(1) 210		Interest	(1) 166		Contra	(1) 180					Balance c/d	8 413			15 941			15 941	Feb 1	Balance b/d	(1)OF 8 413	7												
Date 2023	Details	\$	Date 2023	Details	\$																																																			
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	Balance c/d	8 413			15 941																																																			
		15 941	Feb 1	Balance b/d	(1)OF 8 413																																																			
3(c)	Assist in locating errors (1) Are proof of the arithmetical accuracy of the ledgers they control (1) Provide the total of trade receivables and trade payables immediately (1) Allow draft financial statements to be prepared quickly (1) Provide a summary of transactions affecting trade receivables and trade payables (1) May help to reduce fraud (1) Max (2)	2																																																						

ANSWER / MARKING POINTS - continued

3(d)	For selling the equipment to pay supplier Release funds to pay most of amount outstanding/increase liquidity (1) Would reduce any interest supplier may charge (1) Would maintain good relationship with supplier (1) Would earn a profit on disposal (1) May not affect the ability of the business to earn a profit (1) New equipment could be purchased when funds are available (1) Max (2) Against selling the equipment to pay supplier May have to pay interest to the supplier (1) Will damage relationship with supplier if do not pay when requested (1) Would not provide enough to pay the supplier in full/will have to pay rest from cash/bank(1) May not be possible to operate efficiently without the equipment (1) Would cost more to replace the equipment than the amount owing to the supplier (1) Could consider obtaining money from elsewhere – trade receivables, bank overdraft, introducing capital etc. Max (2) Accept other valid points Recommendation (1)	5
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ANSWER / MARKING POINTS - continued

4(a)	Gross margin [Cost of sales = 3750 + 62 305 – 7500 = 58 555]	9
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